targeting. Inflation-targeting was premised on the view that if policymakers took care of price stability, financial stability would be automatically assured. The crisis proved that wrong by actually demonstrating the opposite—that an exclusive focus on price stability can blindside central bankers to threats to financial instability. In light of this received wisdom, central bankers found themselves charged with neglecting financial stability in their single-minded pursuit of an inflation target, and thereby abetting, if not causing, the global financial crisis.

One of the big lessons of the crisis is that financial stability is neither automatic nor inevitable and that it has to be explicitly safeguarded. Central banks, in particular, cannot afford to keep financial stability off their radars.

Does this mean the inflation-targeting approach has to be abandoned altogether? Alternatively, can inflation-targeting be made more flexible to accommodate concerns about financial stability? Quite predictably, these questions were in constant play in international policy conferences as well as in the global media in the post-crisis period. The ensuing debate also raised a host of related questions on inflation-targeting, financial stability and the broader issue of the mandates of central banks. What exactly is financial stability? Is monetary policy an appropriate instrumentality for preserving financial stability? Is it sufficient? If not, what other policies are required and how should monetary policy dovetail with these other policies? Apart from financial stability, how should the inflation-targeting approach reckon with the imperatives of real-sector variables like growth and employment? Is inflation-targeting possible in a globalized economy where the prices of goods and services are set by global rather than domestic demand–supply balance? How effective is inflation-targeting in economies where wages are determined more by the government's immigration policy rather than the central bank's monetary policy? How should the mandates of central banks be redefined to reflect these fresh concerns?

By their very nature, these were open-ended questions, and the only broad consensus that emerged was that inflation-targeting was not the magic bullet it was once thought to be and that strict inflation-targeting